

17					
18	X	P(X)	XP(X=x)	x^2 p(X=x)	
19			=A20*B20	=A20^2*B20	
20	-2	0.2	-0.4	0.8	
21	-1	0.1	-0.1	0.1	
22	1	0.4	0.4	0.4	
23	1	0.2	0.2	0.2	
24	2	0.1	0.2	0.4	
25	Total	1	0.3	1.9	
26		=SUM(B20:B24)	=SUM(C20:C24)	=SUM(D20:D24)	
27					
28		Value	Formula		
29	E(X)	0.3	=SUMPRODUCT(A20:A24,B20:B24)		
30	E(4X+5)	6.2	=4*B29+5		
31	E(X^2)	1.9	=SUMPRODUCT((A20:A24)^2,B20:B24)		
32	V(X)	1.81	=B31-(B29)^2		
33	V(4X+5)	28.96	=4^2*B32		
34	σX	1.345362405	=SQRT(B32)		
35	σ(4X+5)	5.381449619	=SQRT(B33)		
36					

17									
18	project	profit(rs '000)	probability	loss(rs '000)	probability	profit	FORMULA		
19	1	35	0.5	15	0.5	10	=PRODUCT(B19:C19)-PRODUCT(D19:E19)		
20	2	48	0.3	25	0.7	-3.1	=PRODUCT(B20:C20)-PRODUCT(D20:E20)		
21	3	45	0.6	20	0.4	19	=PRODUCT(B21:C21)-PRODUCT(D21:E21)		
22									
23									
24	"The maximum expected profit is 19 (rs. `000), which is obtained from project 3. hence we select project 3."								

17				
18	AGE	BACHELOR'S DEGREE (B)	MASTER'S DEGREE(M)	TOTAL
19	UNDER 30 (A)	40	10	50
20	30-40 (W)	20	30	50
21	OVER 40 ©	90	10	100
22	TOTAL	150	50	200
23		=SUM(B19:B21)	=SUM(C19:C21)	=SUM(D19:D21)
24				
25				
26			values	Formula
27	a.	P(B)	0.75	=B22/\$D\$22
28	b.	P(MnC)	0.05	=C21/D22
29	c.	P(A/B)	0.266666667	=B19/B22
30	d.	P(AnB)	0.266666667	=B19/B22
31				

17							
18	GIVEN	VALUE		VALUE	FORMULA		VALUE
19	A	1000	P(M1)	0.166666667	=B19/\$B\$22	P(D A)	0.01
20	B	2000	P(M2)	0.333333333	=B20/\$B\$22	P(D B)	0.02
21	C	3000	P(M3)	0.5	=B21/\$B\$22	P(D C)	0.03
22	TOTAL	6000					
23		=SUM(B19:B21)					
24		VALUE	FORMULA				
25	P(DnA)	0.001666667	=D19*G19				
26	P(DnB)	0.006666667	=D20*G20				
27	P(DnC)	0.015	=D21*G21				
28	P(A)	0.023333333	=SUM(B25:B27)				
29							
30		VALUE	FORMULA				
31	P(A D)	0.001666667	=D19*G19				
32	P(B D)	0.285714286	=B26/\$B\$28				
33	P(C D)	0.642857143	=B27/\$B\$28				
34							